ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 04 - LIQUIDITY POOLS

This teaching reinforces the concept of liquidity pools and when to anticipate raids. Liquidity is defined as the open interest of buyers and sellers in the market, further specified by those entities at or near specific price levels.

Graphically, the gray area represents the current market price for your specific asset class (e.g., the Dollar Index). There is always market participation from buyers and sellers around this current price.

While not concerned with the 'why' of buying or selling interest, it is crucial to identify 'where' their interest may reside in new pending orders.

New pending orders are typically in the form of:

- Buy stops above the marketplace. More refined Smart Money traders will be selling above the market price.

- Sell stops below the market price. Typically, Smart Money wants to buy below the market price.

Retail traders are usually reactive, buying and selling at market price.

As a Smart Money-minded trader, the objective is:

- To sell to the buyers above the market price (selling at a premium).

- To buy from sellers below the market price (buying at a discount).

This is diametrically opposed to what retail traders are typically taught (e.g., buying on a breakout or continuation patterns like a bull flag or wedge). The Smart Money approach requires discipline and patience to wait for the market to pull back into a level of discount.

BEARISH MARKET STRATEGY: SELLING ABOVE OLD HIGHS

TIMESTAMP: 00:03:22

When viewing price and the market is predisposed to go lower (e.g., the Dollar is bearish):

- The strategy is to sell above old highs.

- Retail buyers view a move above an old high as a bullish breakout and become willing buyers.

- Protective buy stops for short positions also reside above old highs.

- Selling at this moment means selling short into a pool of liquidity of buyers above old highs.

Above old highs, there is a pool or collection of orders that traders build up around. Most retail traders are unaware of other traders' actions, thinking myopically about themselves.

To identify where other traders' stop-loss orders reside (liquidity):

- Role-play by looking at the charts and asking:

  - 'If I were short right now, where would my protective buy stop be?'

  - 'If I were long right now, where would my protective sell stop be?'

- This provides a good read on stop-loss order locations above and below the marketplace.

BEARISH SCENARIO: FALSE BREAKOUT AND LIQUIDITY TARGETS

TIMESTAMP: 00:05:10

Consider a bearish Dollar Index:

- Wait for a rally to go above an old high.

- Look to go short there, expecting that move above an old high to be a false breakout.

- The market would then reprice lower to some lower level liquidity reference point, such as running below another old low, a bullish order block, or closing in a fair value gap.

BULLISH SCENARIO: BUYING BELOW OLD LOWS AND LIQUIDITY TARGETS

TIMESTAMP: 00:05:52

Consider a bullish Dollar:

- Look below the market price for sellers on a breakout, anticipating a move lower. Retail traders are often incorrect.

- This repricing offers liquidity. The objective is to be a buyer at a discount.

- Pair buy orders with willing participants who want to sell on a sell stop (either breakout sellers or protective sell stops for long positions).

- When the market trades below an old low, view it as an opportunity to buy up the sell-side liquidity to establish a long position.

- Wait for a repricing to trade above an old high to unload the position, or trade up into a bearish order block, fair value gap, or liquidity void to take profits.

Viewing the marketplace through the market efficiency paradigm allows you to understand the internals of the market. You don't need an order book, ladder, or depth of market tools.

- You can see where orders reside using common sense and visual reference to old highs and old lows on charts.

- The key is knowing the underlying bias of the market: is it predisposed to go higher or lower?

- This requires higher timeframe analysis to establish a bullish or bearish bias for a specific asset class.

Patience is crucial. Initially, it will be hard as you'll want to act immediately.

When the market is predisposed to go higher:

- Wait for the market to go down below an old low.

- This knocks out weak longs or bullish traders with stop losses trailed too tight.

- The accumulation of sell-side liquidity (knocking out sell stops) injects the marketplace with willing participants to sell.

- Smart Money accumulates this rush of selling interest quickly, then looks for a move higher.

When the market is predisposed to go lower:

- Wait for the market to trade above an old high.

- This injects buy-side liquidity into the marketplace (a rush of buy orders).

- Smart Money will accumulate and sell into that, expecting a false break above an old high while the market is underlying bearish.

- This involves selling short in the form of a run on liquidity or a liquidity pool.

RUN ON A BULLISH LIQUIDITY POOL: DEFINITION AND ENTRY TECHNIQUE

TIMESTAMP: 00:09:06

Graphically, a 'run on a bullish liquidity pool' means:

Definition:

- A low under the current market price typically has a trailed sell stop for long traders.

- Sell stops for traders wishing to enter a short position on a breakout lower in price also reside below old lows.

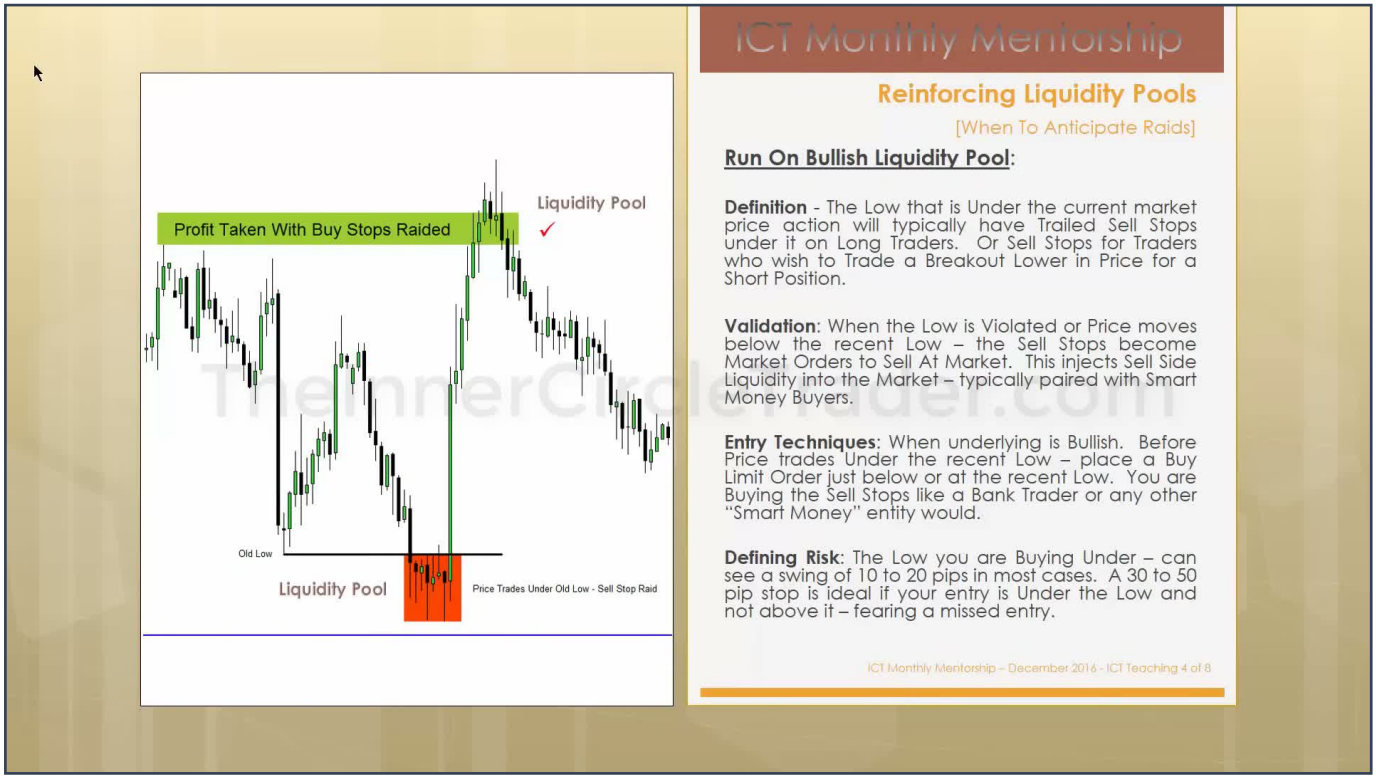
Validation and Entry:

- Validation occurs when the low is violated, or price moves below the recent low.

- These sell stops become market orders to sell at market, injecting sell-side liquidity.

- This liquidity is typically paired up with Smart Money buyers.

- Entry technique: When the underlying market is bullish, place a buy limit order just below or at the recent low before price trades under it. This means buying the sell stops like a bank trader or other Smart Money entity would.



This is a critical aspect of your work. You need to identify the low and anticipate how far it could reasonably trade below it.

Anticipating Sweep and Stop Loss:

- For exercise purposes and hindsight observation on lower timeframe charts (e.g., 15-minute or 30-minute), anticipate a 10 to 20 pip sweep below the old low.

- A 30 to 50 pip stop loss is ideal if your entry is significantly under the low (10 to 20 pips below it), rather than at or above it.

- Waiting for the market to trade under the low (by 10-20 pips) provides an ideal entry point, as a 30-50 pip stop from there would require a significant move to invalidate.

Invalidation Threshold:

- If price starts moving beyond 25 pips below the low, it's likely not just a stop run, but a much further decline, indicating the setup is invalid.

ANTICIPATING STOP RAIDS: KIWI DOLLAR EXAMPLE

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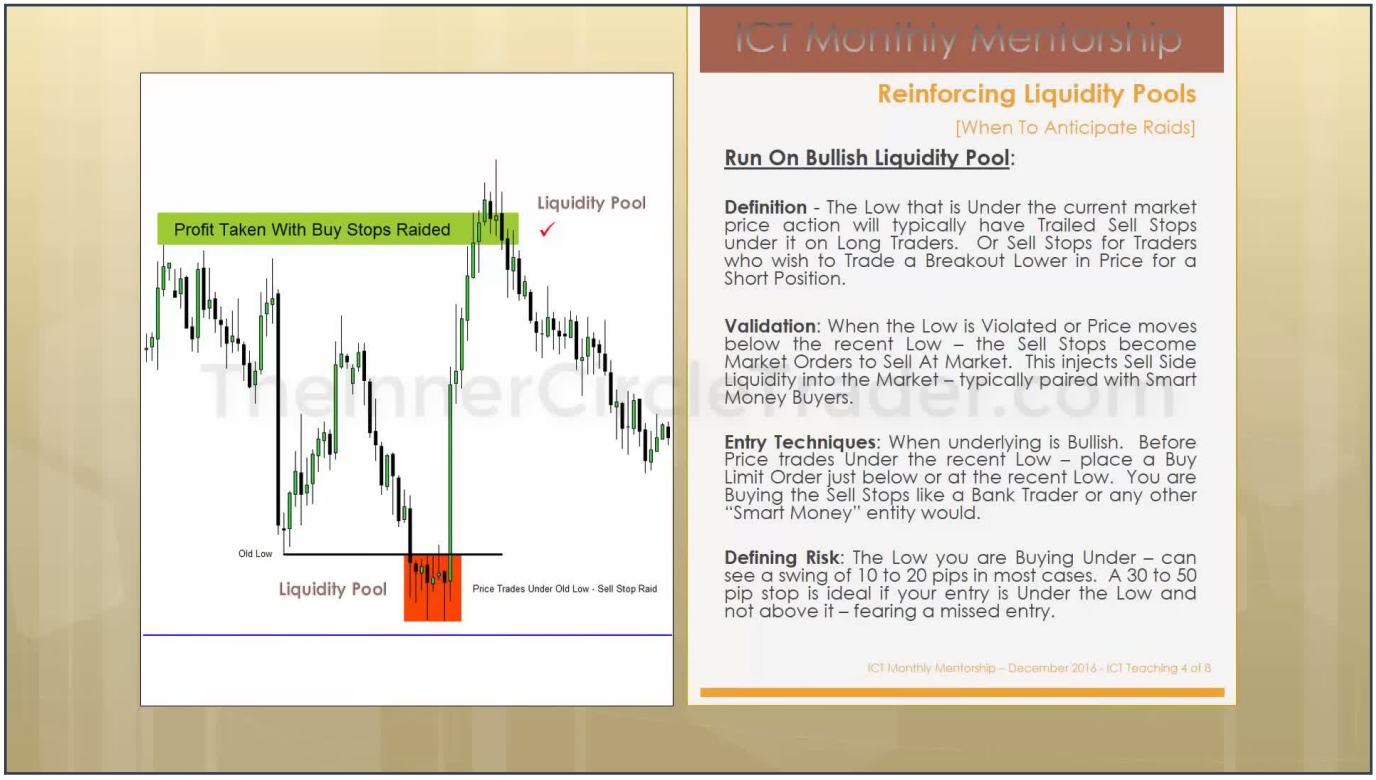

Consider a Kiwi Dollar trade where the market was underlying bullish:

- An old low had a liquidity pool resting below it.

- The market traded below that old low and accumulated all those sell stops.

- While accumulating, Smart Money looks to offset those new longs above old highs (where a 'contrary liquidity pool' or buy stops would be resting).

- Equal highs can indicate profit-taking points when buy stops are raided.

- This process involves accumulating sell-side liquidity for longs and distributing those longs to the buy-side liquidity, effectively acting as a market maker and liquidity provider, embodying the market efficiency paradigm.

CHART EXAMPLE 1: USD/CAD LIQUIDITY POOL SETUP (PART 1)

TIMESTAMP: 00:12:55

Let's look at the Canadian dollar (USD/CAD) pair. On the daily chart:

- Focus on the bodies of the candles, looking for a sweep below them, as sell stops reside below these lows.

- Identify a previous day's candle low at 1.3102.

- Transpose this level to a 15-minute timeframe. Price trades down below it, then shows a willingness to rally away.

- On this particular day, an interest rate announcement (news) was expected, providing a catalyst.

CHART EXAMPLE 1: USD/CAD EXECUTION AND TARGET (PART 2)

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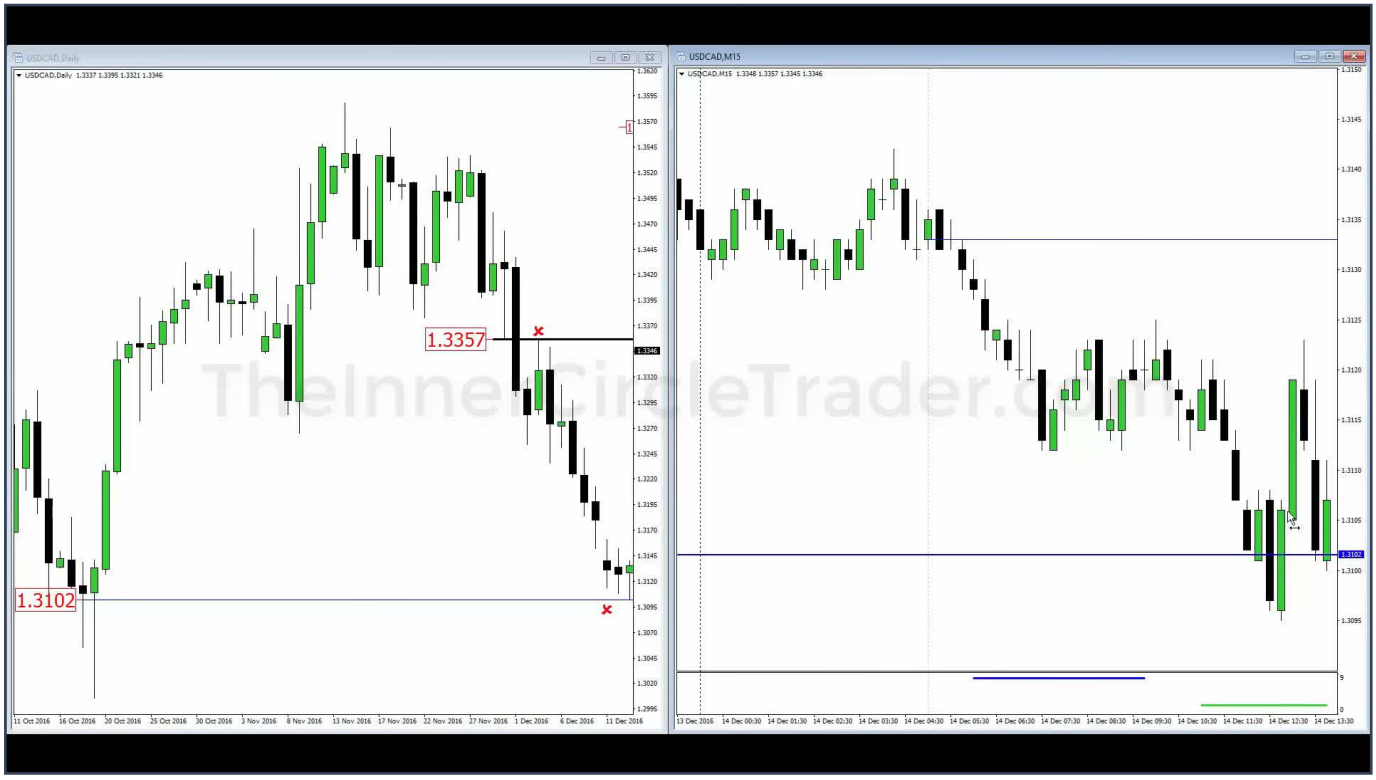

Continuing with USD/CAD:

- The focus was on a run below an intraday low at 1.3095.

- A buy entry was considered at 1.3090, or potentially 1.3085/1.3075.

- Price traded down to a candle low of 1.3083, allowing for a limit order fill at 1.3090, resulting in a 7-pip drawdown.

- Price immediately showed a willingness to rally up.

- The target for unloading the long position was a swing high at 1.3360, where a 'contrary liquidity pool' (buy stops) would be resting.

- Price rallied successfully, reaching 1.3360, which was also evident on the daily chart.

CHART EXAMPLE 2: DOLLAR INDEX (DXY) LIQUIDITY SWEEP

TIMESTAMP: 00:16:02

Next, the Dollar Index (DXY), which was in a bullish move.

- On a Thursday, leading into a Friday, price created an intraday low.

- Buy stops were identified above a short-term high and another higher short-term high.

- Price traded down, clearing out the sell stops below the marketplace (intraday low).

- An entry could have been placed at 102.85 or 102.80, with the actual low being 102.69, providing an easy fill.

- The long position accumulated below this low was targeted for unloading into buy stops above the equal highs, and then above the higher short-term high.

CHART EXAMPLE 2: DXY RALLY AND FRIDAY'S PROFIT-TAKING

TIMESTAMP: 00:17:28

Following the DXY entry:

- Price rallied up, experiencing a smaller retracement that could have been unsettling.

- Price then tapped the first high, falling just short, before exploding up through it and taking the buy stops.

- Another smaller retracement occurred, followed by a run right up above and hitting the next layer of buy stops.

- This action on Friday (end of week) involved running up and taking out buy stops, and then seeking sell stops below relative equal lows.

- Because the market was in a trending environment prior to Friday, the expectation for Friday was a choppy, sideways day as participants took profits, resulting in runs on both buy stops and then sell stops.

CHART EXAMPLE 3: USD/CHF (DOLLAR SWISSY) SETUP & TARGETS

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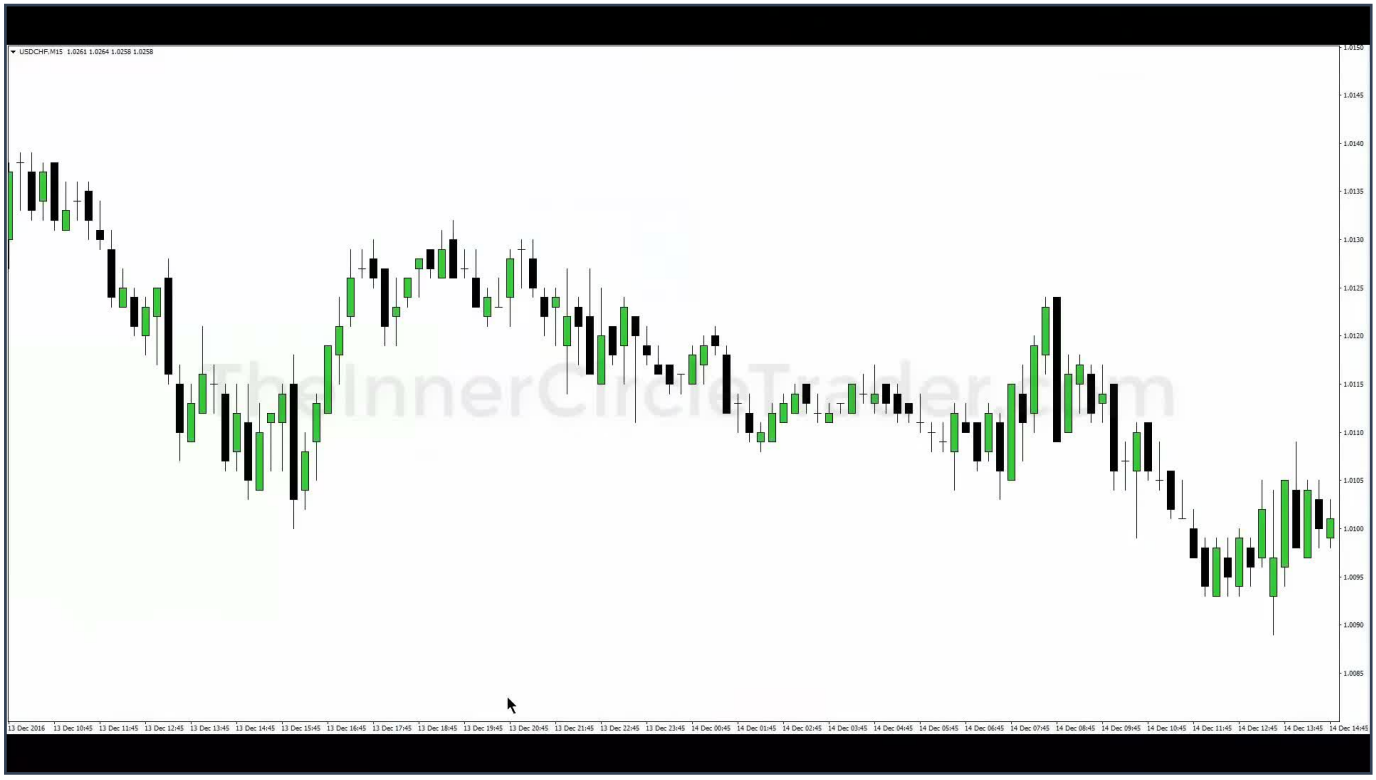

Here is another example using the Dollar Swissy (USD/CHF):

- A horizontal line was used to delineate a specific low. The strategy was to be a buyer at or just below this low, looking for a run below it.

- Orders were targeted to be paired above a series of highs: 1.0145, 1.0130, and 1.0125 were identified as layered buy stop areas for profit-taking.

CHART EXAMPLE 3: USD/CHF EXECUTION AND REACTION

TIMESTAMP: 00:19:16

Executing the USD/CHF trade:

- The market moved down into the identified level, and a sweep down below it occurred.

- Price then rallied away and surged up above to the 1.0125 level. A notable reaction was observed after hitting this point, indicating a liquidity pool reaction.

- The market continued with a stronger move higher, clearing out the 1.0130 and 1.0145 buy stop levels.

CHART EXAMPLE 4: GBP/USD (CABLE) INTRADAY SETUP

TIMESTAMP: 00:20:08

Finally, the Cable (GBP/USD), discussed live during a Friday session:

- The anticipation was for price to sweep below a short-term low one more time, specifically below the opening price, to sweep the sell stops.

- The target for price movement was identified as the 1.2500-1.2520 level, relative to the hourly chart.

CHART EXAMPLE 4: GBP/USD EXECUTION AND OUTCOME

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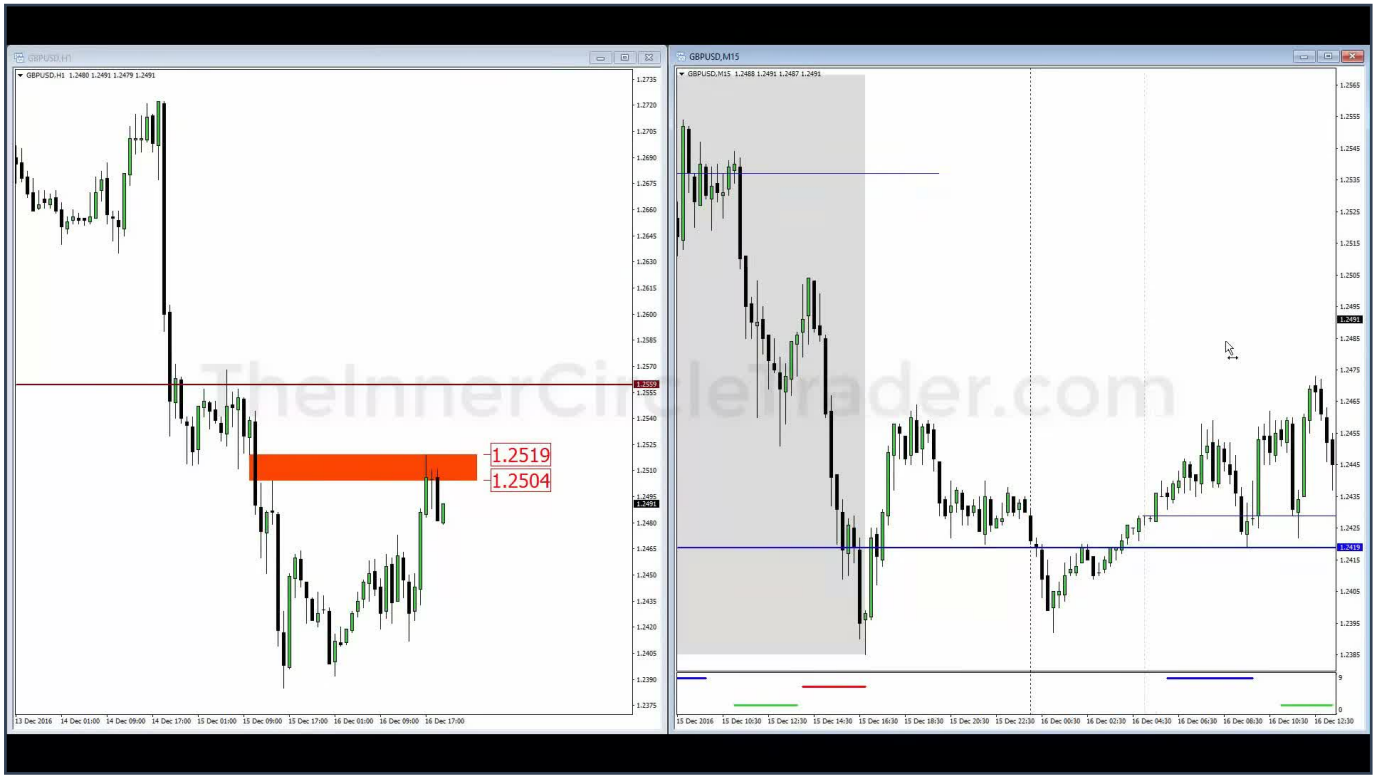


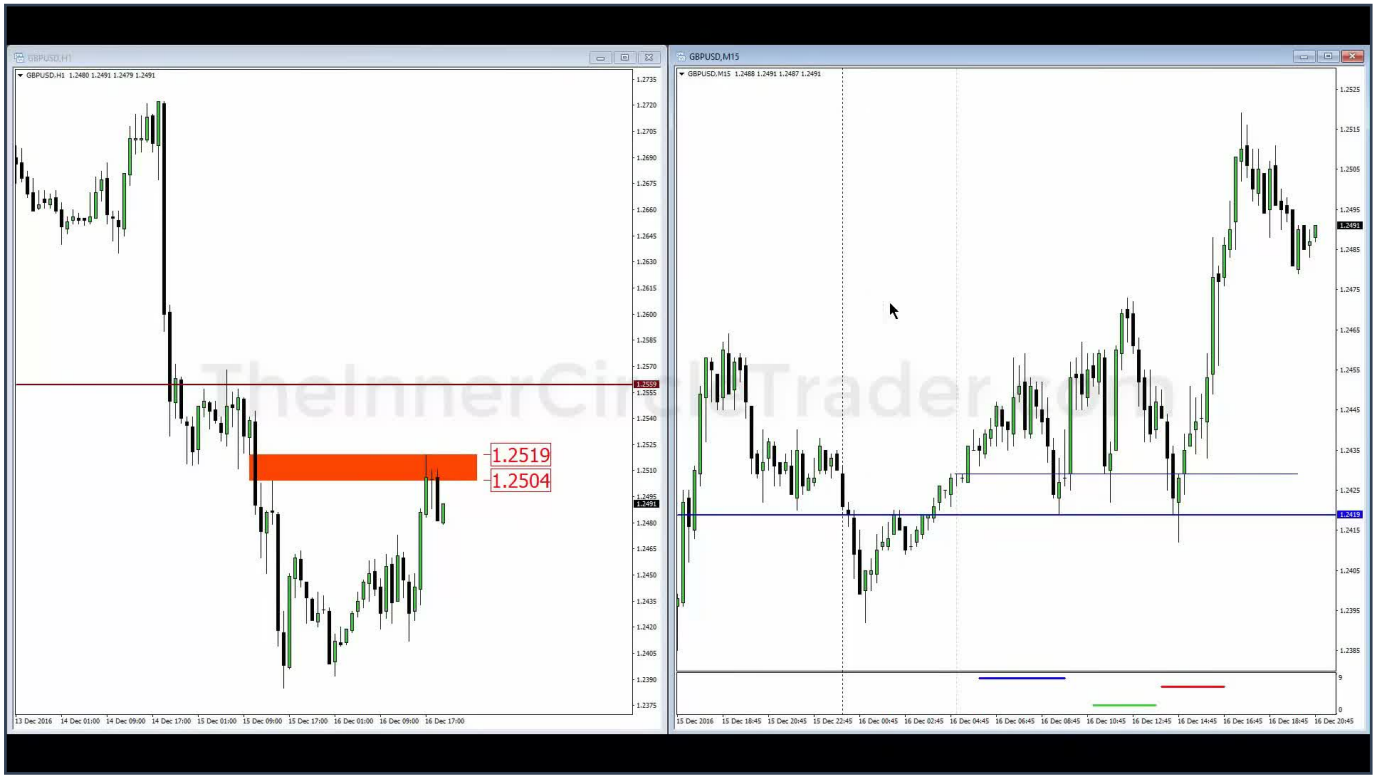
Following the GBP/USD setup:

- Price swept down below, running out the pool of liquidity (sell stops).

- These sell stops were absorbed, accumulating long position entries.

- The objective was to offset (take profits) above 1.2475 and then higher, relative to the hourly chart.

- Price ran up and hit that level handsomely, demonstrating a successful liquidity pool trade: absorbing sell stops, accumulating long positions, and then distributing those positions into buy-side liquidity at higher levels.



These examples demonstrate various runs on liquidity in the form of a liquidity pool.

Future supplementary teachings during the Christmas week will build on these ideas, providing more detail on:

- Liquidity pool runs

- Fair value gaps

- Liquidity voids

- Order blocks

- Mitigation blocks

- Reclaimed order blocks

These additional recordings will amplify the content provided in the regular eight teachings for December 2016.